

Assignment 2

The trial balance of Large Company, Inc. at the end of its annual accounting period is as follows:

LARGE COMPANY, INC.

Trial Balance

December 31, 2019

Cash	\$ 4,000	
Prepaid Insurance	1,600	
Supplies	2,100	
Equipment	20,000	
Accumulated Depreciation—Equipment		\$ 2,000
C. Large, Capital		19,000
C. Large, Withdrawals.....	2,000	
Revenue		33,000
Salaries Expense.....	18,300	
Rent Expense	<u>6,000</u>	
Totals	<u>\$54,000</u>	<u>\$54,000</u>

Additional information:

1. Expired insurance, \$600.
2. Unused supplies, per inventory, \$800.
3. Estimated depreciation, \$1,000.
4. Earned but unpaid salaries, \$700

Require:

1. Given above information, please prepare the adjusting entries for the LARGE COMPANY, INC for the year of 2019.
2. Please prepare the adjusted trial balance for the LARGE COMPANY, INC for the year of 2019 based on above unadjusted trail balance and adjusted entries you have prepared.

(Hint: A worksheet may help you to prepare the adjusted trial balance)

Answer 2

I .Adjusting Entries

1. Dr: Insurance Expense 600
 Cr: Prepaid Insurance 600

2. Dr: Supplies Expense 1,300
 Cr: Supplies 1,300

3. Dr: Depreciation Expense 1,000
 Cr: Accumulated Depreciation 1,000

4. Dr :Salaries Expense 700
 Cr Salaries Payable 700

II . Adjusted Trial Balance

LARGE COMPANY, INC. Adjusted Trial Balance December 31, 2019		
	D	C
Cash	\$ 4,000	
Prepaid Insurance	1,000 (1600-600)	
Supplies	800 (2100-1300)	
Equipment	20,000	
Accumulated Depreciation— Equipment		\$ 3,000 2,000+1,000)
Salaries Payable		700
C. Large, Capital		19,000
C. Large, Withdrawals	2,000	

Revenue		33,000
Salaries Expense	19,000 (18,300+700)	
Insurance Expense	600	
Supplies Expense	1,300	
Depreciation Expense	1,000	
Rent Expense	<u>6,000</u>	<u> </u>
Totals	<u>\$55,700</u>	<u>\$55,700</u>

(提示：加粗字体括号内为计算过程，以便于理解，不作为必要要求)